

SEMINAL MOMENTUM RESEARCH

With behavioral finance now as a way to explain momentum logically, momentum research took a giant leap forward with the publication of “Returns to Buying Winners and Selling Losers: Implications for Stock Market Efficiency” by Jegadeesh and Titman (1993). They found, using data from 1965 through 1989, that winning stocks on the NYSE and American Stock Exchange (AMEX) over the past 6 to 12 months continued to outperform losing stocks on average over the next 6 to 12 months by approximately 1% per month after adjusting for any return differences due to other risk factors. This outperformance was essentially the same thing that Cowles and Jones had discovered 30 years earlier. Eight years after their 1993 paper, Jegadeesh and Titman (2001) followed up with an out-of-sample validation of their work and found that 1990–1998 past winners outperformed past losers by approximately the same 1% per month. This, and considerable subsequent momentum research on additional data by others, did away with concerns that momentum profits could be attributable to data mining biases.

Quantitative research helped to transform momentum from a discretionary approach to a rules-based one. Jegadeesh and Titman’s research clearly showed that stocks strongest over a 3- to 12-month look-back (or formation) period are also the strongest ones over comparable future periods. This was especially true with respect to a 6- to 12-month look-back window.

According to rules-based momentum, you buy the strongest 10% to 30% stocks over the past 6 to 12 months, hold them 1 to 3 months, then reevaluate and rebalance the portfolio. As an added bonus, a rules-based approach such as this helps remove behavioral bias from the decision-making process and lessens the chance that investors will make poor decisions based on emotional responses to market conditions.

ADDITIONAL MOMENTUM RESEARCH

The rigorous and replicable research done by Jegadeesh and Titman inspired a great many additional momentum research papers. In fact,